Does NIS2 apply to us?

Business: Example Electrical Ltd Date: 23 October 2026

Sources checked: 19 October 2026

Likely yes: an essential entity.

Reason: an authority has identified or notified you (Art. 2(3), Art. 3(1)(e) and (f)). The classification follows the directive; the national law decides the deadlines, the authority and the portal.

What you told us

Country	Outside the EU, with services in the EU
Size	250 or more staff, or turnover above EUR 50 million and balance sheet above EUR 43 million
Sector	None of these: for example trade, crafts, retail, hospitality, consulting, construction, agriculture, software not listed above
Special cases	An authority has identified us as a critical entity or notified us that we are an essential or important entity
Supplier of covered entities	No

Findings

FACT The directive applies to public or private entities of a type referred to in Annex I or II which qualify as medium-sized enterprises under Article 2 of the Annex to Recommendation 2003/361/EC, or exceed the ceilings for medium-sized enterprises, and which provide their services or carry out their activities within the Union. Regardless of size it also applies to providers of public electronic communications networks or services, trust service providers, top-level domain name registries and DNS service providers, to entities identified as critical under Directive (EU) 2022/2557, and to entities a member state identifies because they are the sole provider of a service essential for critical societal or economic activities, or because a disruption could have a significant impact on public safety, public security or public health.

→ Directive (EU) 2022/2555, Art. 2(1) to (3) · EUR-Lex · retrieved 2026-10-19

■ FACT Under the Recommendation, a medium-sized enterprise employs fewer than 250 persons and has an annual turnover not exceeding EUR 50 million and/or a balance sheet total not exceeding EUR 43 million; a small enterprise employs fewer than 50 persons and has a turnover and/or balance sheet total not exceeding EUR 10 million. The data of partner and linked enterprises are added to those of the enterprise. Article 3(4) of the Annex, on public bodies holding 25 % or more, does not apply for the directive. Recital 16 lets member states take into account the degree of independence of an entity from its partner or linked enterprises.

→ Recommendation 2003/361/EC, Annex, Art. 2, 3 and 6 · retrieved 2026-10-19; Directive (EU) 2022/2555, Art. 2(1) and recital 16 · retrieved 2026-10-19

◆ INTERPRETATION In the directive's terms a business is therefore medium-sized once it has 50 or more staff, or both turnover and balance sheet above EUR 10 million, and large with 250 or more staff, or both turnover above EUR 50 million and balance sheet above EUR 43 million. The German and the Austrian law write exactly these thresholds. A business that belongs to a group adds the group's figures; Austria does not add them where the entity is organisationally, technically and operationally independent.

→ BSI-Gesetz, § 28(1), (2) and (4) · gesetze-im-internet.de · retrieved 2026-10-19; NISG 2026, § 25(2) to (4) · ris.bka.gv.at · retrieved 2026-10-19

■ FACT Essential entities are those of an Annex I type that exceed the ceilings for medium-sized enterprises, qualified trust service providers, top-level domain name registries and DNS service providers regardless of size, medium-sized providers of public electronic communications networks or services, central government entities, entities identified as critical under Directive (EU) 2022/2557, and entities a member state identifies as essential. All other entities of an Annex I or II type in scope are important entities.

→ Directive (EU) 2022/2555, Art. 3(1) and (2) · retrieved 2026-10-19

■ FACT Essential and important entities take appropriate and proportionate technical, operational and organisational measures based on an all-hazards approach, covering at least ten areas: risk analysis and information system security policies; incident handling; business continuity with backup management, disaster recovery and crisis management; supply chain security; security in acquisition, development and maintenance including vulnerability handling; policies to assess the effectiveness of the measures; basic cyber hygiene practices and cybersecurity training; cryptography and, where appropriate, encryption; human resources security, access control and asset management; and the use of multi-factor or continuous authentication, secured communications and secured emergency communication systems where appropriate. The management bodies approve the measures, oversee their implementation, can be held liable for infringements and must follow training.

→ Directive (EU) 2022/2555, Art. 20, Art. 21(1) and (2), Art. 23(4) · retrieved 2026-10-19

■ FACT A significant incident is reported to the CSIRT or the competent authority with an early warning within 24 hours of becoming aware of it, an incident notification within 72 hours, and a final report not later than one month after the notification; trust service providers notify within 24 hours. Entities submit at least their name, address and contact details, the sector and subsector and the member states where they provide services, and notify changes within two weeks; the deadline for the first registration and the portal are national law.

→ Directive (EU) 2022/2555, Art. 20, Art. 21(1) and (2), Art. 23(4) · retrieved 2026-10-19; Directive (EU) 2022/2555, Art. 3(4) · retrieved 2026-10-19

■ FACT For infringements of the measures or the reporting duties, member states provide fines of a maximum of at least EUR 10 000 000 or 2 % of the total worldwide annual turnover for essential entities, and of at least EUR 7 000 000 or 1.4 % for important entities, whichever is higher.

→ Directive (EU) 2022/2555, Art. 34(4) and (5) · retrieved 2026-10-19

◐ UNCERTAIN The directive applies to entities that provide their services or carry out their activities within the Union. Entities fall under the jurisdiction of the member state in which they are established; DNS, cloud, data centre, content delivery, managed service, online marketplace, search engine and social network providers fall under the member state of their main establishment in the Union, and if they are not established in the Union but offer services there, they must designate a representative in one of the member states where they offer them. Whether a business established outside the Union is covered therefore depends on the type of service and on the member state; this memo cannot settle it.

→ Directive (EU) 2022/2555, Art. 2(1) and Art. 26 · retrieved 2026-10-19

What to do next

- [ ] Confirm the size with the figures of the whole group (staff, turnover, balance sheet) and the sector against Annex I or II; keep the dated calculation.
- [ ] Find the transposition law and the authority of the member state that has jurisdiction, and register within its deadline.
- [ ] Have the management approve the measures in writing and attend a training; both are duties of the management body.
- [ ] Start with the measures every questionnaire asks first: multi-factor authentication on the accounts that matter, tested backups, an incident procedure that can produce the 24-hour early warning, security clauses for suppliers.
- [ ] Keep a dated evidence file: the self-assessment, the registration confirmation, the measures, the training records.

The Security Evidence Toolkit turns the measures of Article 21 into a self-declaration, an action plan and an emergency card for a business without an IT

department: scutoria.com/toolkits/security-evidence.

Sources

1. Directive (EU) 2022/2555 of 14 December 2022 (NIS 2 Directive): Art. 2, 3, 20, 21, 23(4), 26, 34(4) and (5), Annexes I and II, recital 16. eur-lex.europa.eu, CELEX 32022L2555 · retrieved 2026-10-19.
2. Commission Recommendation 2003/361/EC of 6 May 2003 concerning the definition of micro, small and medium-sized enterprises, Annex, Art. 2, 3 and 6. eur-lex.europa.eu · retrieved 2026-10-19.
3. Germany: BSI-Gesetz of 2 December 2025 (BGBl. 2025 I No. 301), in force since 6 December 2025, §§ 28, 30, 32, 33. gesetze-im-internet.de/bsig_2025 · retrieved 2026-10-19.
4. Germany: Federal Office for Information Security (BSI), pages "NIS-2 regulierte Unternehmen", FAQ, "Registrierungspflicht", "NIS-2 in Zahlen" (figures as of 30 September 2026), newsletter of 1 April 2026, press releases of 5 December 2025 and 6 January 2026, self-check betroffenheitspruefung-nis-2.bsi.de. bsi.bund.de · retrieved 2026-10-19.
5. Austria: Netz- und Informationssystemsicherheitsgesetz 2026 (NISG 2026), BGBl. I No. 94/2025, §§ 3a, 24, 25, 26, 29, 32, 51; NISV 2026, BGBl. II No. 290/2026. ris.bka.gv.at · retrieved 2026-10-19.
6. Austria: Bundesamt für Cybersicherheit, pages "Registrierung" (updated 2 October 2026) and "Meldepflicht und Fristen" (updated 5 October 2026). bundesamt-cybersicherheit.gv.at · retrieved 2026-10-19. Austrian Parliament, 308 d.B., XXVIII. GP. parlament.gv.at · retrieved 2026-10-19.
7. European Commission, "NIS2 Directive transposition in EU countries" (last update 1 July 2025), news of 7 May 2025 and 8 July 2026. digital-strategy.ec.europa.eu · retrieved 2026-10-19.

This memo is information based on the sources listed, generated on 23 October 2026 from the answers above. It is not legal advice and decides nothing on behalf of your business. Every statement carries its marker, every source its retrieval date; check the sources again before you rely on a date.